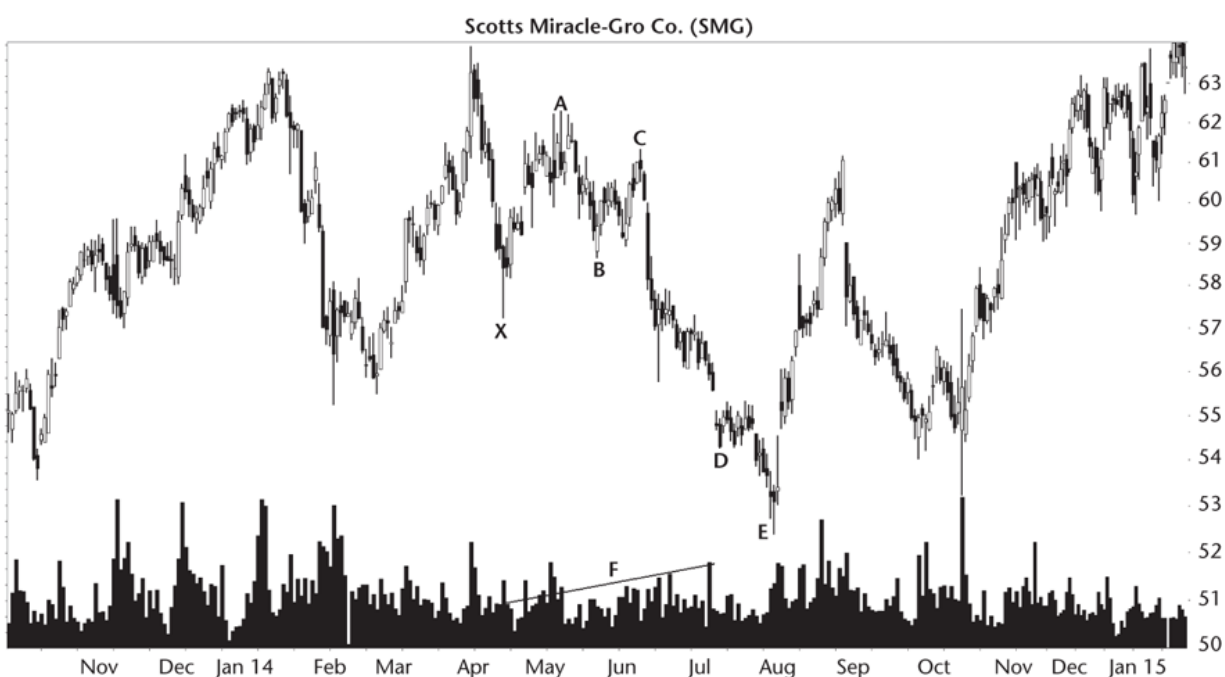


AD/AX retrace. For the last ratio, I use a 3% window to check if the AD to AX ratio is 1.618. Plugging in the high at A, low at X, and low at D, we get $(51.78 - 33.72)/(51.78 - 40.75)$ or 1.64, which is within 3% of 1.618. In other words, the pattern qualifies as a valid bullish crab. Your pattern recognition software may use a different algorithm and find different results.

Volume. Volume shown during formation of the crab is usually upward, and that's good news in bull markets (performance improves).

Duration. I limited pattern length to 6 months or less. That's an arbitrary limit I place on some patterns when searching for them.



[Figure 20.3](#) This bullish crab breaks out downward after climbing just 2% above the low at D.

Focus on Failures

[Figure 20.3](#) shows what I consider to be a failure of a bullish crab to perform as expected. Volume (F) slopes upward as it does over 60% of the time.

In this example, the stock reaches point D and price forms a bottom, just as it is supposed to do. However, the stock forgets to rise much (just 2%). The